Amazon.com, Inc.

AMZN NASDAQ

Buy	$259.53 ▼ 1.11%	12M Price Target $310.00	52-Week Range $196.00 – $287.20	Market Cap $2.80T

AMZN: Quiet Day, But Options Flow Flashing Caution

WHAT HAPPENED

- Quiet tape — AMZN down 1.1% on light volume (25M vs recent 35M+ average), which usually means no new information, just drift. The stock is still sitting at 70% of its 52-week range, so this isn't weakness, it's digestion after Thursday's $262 pop.
- The real signal is in options: big block buyer grabbed 8,920 October $270 puts (that's a bet the stock FALLS below $270 by month-end) at 82x the existing open interest — someone with real money is hedging or betting on a near-term pullback into earnings.

WHY IT MATTERS

Here's what I'm reading into this: the overall put/call ratio is 0.48 (bullish — more calls than puts), BUT the unusual activity is concentrated in near-dated puts right at $270. That's a classic "I'm long the stock, I want protection into the Oct 30 earnings print" setup. Translation: smart money is still bullish longer-term but worried about a short-term disappointment — likely around AWS growth rate or holiday guidance given tariff noise. The CEO of Amazon Stores selling 1,000 shares is a nothing-burger (that's a rounding error for him), but combined with the put flow, it suggests nobody's buying aggressively right here either. Watch the $255 level — if we break it, that put buyer looks smart and we probably retest $245 before earnings.

POLICY & POLITICAL WATCH

Two things on my radar: First, the FTC antitrust case against Amazon is still grinding through court — a trial is expected in 2027, and any pretrial ruling (especially on whether structural remedies like breaking off AWS are on the table) is a live catalyst. Second, tariff policy — the administration's tariffs on Chinese goods directly hit Amazon's 3P sellers (third-party merchants = roughly 60% of units sold), which squeezes take rates and could pressure Q4 guidance. On the positive side, the federal push to onshore AI infrastructure and the massive data center buildout tailwind helps AWS's capex-heavy strategy look validated rather than reckless — that's a real underappreciated tailwind.

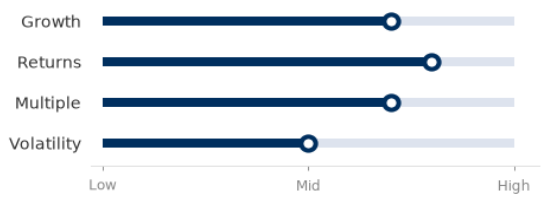
IS IT EXPENSIVE?

At $259, AMZN trades around 38x forward earnings — meaning investors are paying $38 for every $1 of profit next year. That sounds expensive, but AWS alone grows ~19% with 35%+ margins, so you're really paying for a cloud compounder with a retail business attached. Compared to MSFT at ~32x and GOOGL at ~22x, AMZN isn't the cheapest hyperscaler, but it has the most operating leverage left to unlock in retail — that's the "it's expensive but justified" argument.

Key Data

Price (USD)	**$259.53**
12M Price Target	**$310.00**
Upside / (Downside)	**+19.4%**
Market Cap	**$2.80T**
FY2026E Revenue	**$712M**
FY2027E Revenue	**$782M**
FY2026E EPS	**$6.85**
FY2027E EPS	**$8.20**
Fwd P/E	**37.9x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

AMZN — Amazon.com, Inc. | October 12, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$280.00**	$265.00	**$245.00**
6 Months	**$310.00**	$285.00	**$230.00**
1 Year	**$340.00**	$310.00	**$220.00**
2 Years	**$420.00**	$360.00	**$240.00**
5 Years	**$600.00**	$475.00	**$280.00**
10 Years	**$950.00**	$700.00	**$350.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+1.43%) and Staples (+1.17%) leading — that's a defensive rotation, which usually means institutional money is getting cautious on growth/tech. Energy strength also hints at inflation worry, which pressures consumer discretionary (AMZN's retail side).

COOLING OFF: Tech/Consumer Discretionary isn't on the leaderboard today, and that's where AMZN lives. The relative underperformance vs Staples suggests macro money isn't chasing beta right now.

ROTATION WATCH: Money's moving from growth into defensives and inflation-protected plays — that's a mild headwind for AMZN until we get clarity on rate path and holiday demand.

RELATED PLAY: If AWS prints well, the second-order winners are data center REITs (DLR, EQIX) and power infrastructure names (VST, CEG) — Amazon's capex IS their revenue.

WHO'S WINNING IN THIS SPACE?

- XOM (Exxon): Energy's leading today on supply tightness and geopolitical premium — tells you macro is tilting risk-off.
- COST (Costco): Staples strength shows consumers trading down and seeking value — slight negative read-through for AMZN discretionary, slight positive for Whole Foods/essentials.

AMZN CONTEXT: AMZN is slightly lagging today in a defensive tape, which is actually normal — the stock trades like a cyclical when macro money is cautious. The fact that it's holding $259 (above the 50-day moving average) tells me institutional support is still underneath. Not leading, not broken.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — I like the setup into 2027 but the October earnings print and that put flow make me want to be patient on new adds.

POSITION SIZE: 4-6% of portfolio — core holding size. This is a compounder, not a trade; size it so you can sleep through a 15% drawdown.

ENTRY POINTS: Add in the $250-255 zone, which is where the stock has been bought on every macro dip in the last month. If we get a pre-earnings flush to $245, that's the gift.

TIME HORIZON: 12-24 months. Near-term catalyst is Oct 30 earnings; medium-term it's AWS reacceleration and AI monetization showing up in gross margin.

WHEN TO BAIL: AWS growth prints below 15%, FTC gets a structural remedy ruling, or operating margin contracts two quarters in a row. Any of those three = thesis is wrong.

HEDGING: If you own a full position, buy some out-of-the-money November puts around $250 — think of it like insurance on your house. Costs a little, protects a lot if earnings disappoint. Or just pair-trade: long AMZN, short a smaller cloud name trading at a richer multiple.

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